

Step 1 (Market Segmentation) Worksheet

Market Segmentation Matrix Row Definitions:

1	Market Segment Name	<i>Carefully name the market segment so it appropriate captures precisely the group you want and no more; it is okay to be general at first but you will have to narrow this down in time to make real progress</i>
2	End User	<i>This is the person who is actually using the product not the economic buyer or the champion (more on this in step 12) – it is not a company or a general organization but real people</i>
3	Task	<i>What exactly is it that the end user does that you will significantly affect or allow her to do that she could not do before?</i>
4	Benefit	<i>What is the benefit that you believe the end user will get?</i>
5	Urgency of Need	<i>What is the level of urgency to solve the problem or capture the new opportunity for the end user?</i>
6	Example End Users	<i>Who are example users that you can, have or will talk to so as to validate to validate your perceptions on this market segment?</i>
7	Lead Customers	<i>Who are the influential customers (i.e., lighthouse customers) that if they buy, others will take note & likely follow?</i>
9	Willingness to Change	<i>How conservative is this market segment? How open are they to change? Is there something to force change (i.e., impending crisis)?</i>
10	Frequency of Buying	<i>How often do they buy new products? What is their buying cycle look like at a high level?</i>
11	Concentration of Buyers	<i>How many different buyers are there in this market segment? Is it a monopoly? Oligopoly (a small number of buyers)? Or many competitive buyers?</i>
12	Other relevant market considerations	<i>This allows for customization for your segment for relevant considerations such as “high employee turnover”, “very low margins/ commodity”, “high growth industry”, “high virality effect (i.e., WOM -Word of Mouth”, etc.</i>
13	Size of Market (# of end users)	<i>Estimation of the number of end users to a relevant range (10's, 100's, 1K's, 10K's, 100K's, 1M, etc.)</i>
14	Est. value of end user (\$1, \$10, \$100, \$1K, etc.)	<i>A first pass estimate of the value of each end user, again to a relevant order of magnitude so we can make some relative decisions now but then we will dive much deep into this and other numbers later</i>
15	Competition/ alternatives	<i>What will be you competition from the end users' perspective? Of course there is the “do nothing option” but who else would be competitors if they analyzed their options?</i>
16	Other components needed for a full solution	<i>Since most customers will only buy a full solution and not components, what are the other elements needed to construct a full solution to achieve the benefits above? These are the complementary assets that you do not currently have but would need to build or acquire to give the end user a total solution.</i>
17	Important partners	<i>Who are the partners or distributors you will have to work with to fit into the work flow (e.g., data must come out vendor A's system and then be picked up at the end by vendor B's system) or business processes (e.g., the end users gets all his product via distribution channel C)</i>
18	Other relevant personal considerations	<i>In many market segmentation analysis, there are additional important factors that should be considered. This could be things like where the market segment is geographically centered, values match to founding team, existing knowledge and contacts in market, etc.</i>

Market Segmentation Wire Frame Matrix:

Market Segment Name	Tier 2/3 Test-Prep Coaching Centers (JEE, NEET, SSC, RRB prep)	YouTube Test-Prep Creators & Online Tutors	Individual Offline Tutors (Home tuition / freelance teachers, 10-100 students)	Budget/Mid-tier Private Schools (Tier 2/3)	Self-Studying Competitive Exam Aspirants (JEE, NEET, Civil Services prep)
End User	Classroom teachers (create/schedule tests) and students (take mock tests on phones/tablets).	YouTube instructors (create tests/notes) and online subscribers/learners (attempt mock tests).	Solo tutors and private teachers.	School subject teachers (create term exams) and students (take exams in school computer lab).	Individual students preparing for competitive exams.
Task	Transition from analog paper testing to digital computer-based tests matching national exam formats.	Share mock tests & revision notes in video descriptions; collect student scores and feedback.	Create simple weekly quizzes/tests for small home-tuition batches; review scores; share progress with parents.	Digitise school term/unit examinations and compile section-wise grade sheets.	Click photos of textbook pages/notes to auto-generate mock tests using AI; practice PYQs; share test cards with study groups.
Benefit	Saves 80% test-prep and grading time; mimics exact CB national portals to reduce student exam-day anxiety.	Increases viewer engagement; easy monetization (token-based or paid test series).	Eliminates hours spent printing and manual grading; professionalizes their home-tuition service for parents.	Streamlines grading workflow; automates marksheet/analytcs generation.	Instantly generates practice tests from reading material; allows targeted weakness analysis; peer comparison in study groups.
Urgency of Need	High (Painkiller). Centers are losing students to digital platforms because they cannot offer CBT prep.	High (Game-changer). Creators need interactive engagement tools to monetize and retain subscribers.	Moderate (Vitamin/Painkiller). Driven by parents demanding digital-ready preparation.	Medium (Vitamin/Painkiller). Driven by board directives to include digital exam practice.	Extremely High (Painkiller). Aspirants struggle to find specific, targeted mock tests for the exact topics they read.
Example End Users	Tutors running local centers (50-500 students) in Patna, Kota, Madurai, or Nagpur.	YouTube educators with 10k-1M+ subscribers in test-prep categories (e.g., SSC/RRB).	Freelance math/science tutors running evening home classes of 15 students in Tier 2 cities.	Teachers at local trust-run private schools (e.g., "DAV Public School", "St. Mary's").	College or high school students preparing for JEE or government exams in their hostels/homes.
Lead Customers	Local coaching networks with 3-5 branches who act as educational authorities in their district.	Tech-savvy YouTube tutors with 100k+ subscribers who sell self-published materials.	Prominent local private tutors who teach top-performing students in the area.	Local private school associations or prominent district-level academies.	Influential student leaders in exam forums (e.g., Reddit, Quora, Telegram study channels).
Willingness to Change	Highly conservative about tech but forced to adapt by the national shift to digital exams.	Extremely High. Tech-native, eager to adopt tools that simplify workflows and drive monetization.	High. Eager to use simple, cheap/free mobile tools to reduce administrative workload.	Low to Moderate. Slow, bureaucratic decision-making; requires approval from school boards.	Tech-savvy, constantly trying new AI tools and exam prep apps.
Frequency of Buying	Monthly or annual subscription plan (SaaS model).	Pay-as-you-go AI tokens or monthly Pro plans.	Prefers free tier or low-cost Pro plan (monthly).	Annual licensing per school/student database.	High-frequency token purchases (pay-per-test) or small monthly student subscriptions.
Concentration of Buyers	Highly fragmented (hundreds of thousands of independent coaching centers in India).	Fragmented but highly concentrated online (reachable via YouTube, Telegram, Email)	Extremely fragmented (millions of individual tutors across India).	Concentrated (decisions made by school board/principals).	Highly fragmented (millions of students), but highly active in online communities.
Other relevant market segment considerations	Very low budget; no in-house IT support; needs to run on low-end mobile devices.	Virality is extremely high; word-of-mouth recommendations between creators drive growth.	Highly price-sensitive; requires zero setup time; relies entirely on smartphone interfaces.	Requires parent dashboards, high security, and school-wide administrative user roles.	Highly viral via social sharing (word of mouth is instant); very low brand loyalty; requires gamified UI.
Size of Market (# of end users)	~500,000+ coaching centers in Tier 2/3/4 India (~50M+ students).	~50,000+ educational content creators / online tutors in India.	~2M+ private tutors in India.	~100,000+ budget/mid-tier private schools in India.	250M+ students in India.
Est. value of end user (\$1, \$10, \$100, \$1K, etc.)	₹2,000 to ₹3,000 per year per coaching institute.	Free for creator (excluding AI credits).	₹1000 to ₹1200 per year per tutor.	₹5,000 to ₹10,000 per school per year.	₹200 to ₹500 per student per year.
Competition/ alternatives	Paper-and-pen testing (status quo);	Moodle (complex);	Google Forms (basic);	Expensive LMS.	Textbook practice questions; Testbook (paid); mock test booklets.
Other components needed for a full solution	Zero-code test-taking interface; secure proctoring module (tab monitor/wake-lock).	AI PDF/image-to-test parser; easy links/QR codes for YouTube descriptions.	Mobile-first test creation, automated WhatsApp report card sharing.	Section-wise marking, grading infrastructure, and admin reporting dashboards.	Mobile-camera-to-test OCR integration, Telegram/WhatsApp share buttons.
Important partners	In future, state governments	local or global NGOs			
Other relevant personal considerations	Alignment with founders' mission to help local teachers; easy local physical validation access.	Maximises founders' skills in AI API scaling; near-zero customer acquisition cost (CAC).	Highly aligned with the team's MVP features (which are already fully mobile-friendly).	Long sales cycle would distract the engineering team from core development in the short term.	Matches the co-founders' technical strength in AI-native OCR and document-to-test parsing.